

OPENGOV: BRINGING THE CLOUD TO GOVERNMENT¹

The company must become a learning organization to outpace incumbents, and learning is largely about iteration. How quickly do you accept your mistakes and how courageously can you fix them? The rate of learning and speed of execution will determine success.

—Zac Bookman, OpenGov Cofounder & CEO²

At the beginning of 2012, Zac Bookman was living in a shipping container with two soldiers in Afghanistan. He was serving as an advisor to U.S. Army General H.R. McMaster and the Anticorruption Task Force on a tour with the United States Department of Defense. His cofounders Joe Lonsdale, Dakin Sloss, and Nate Levine were in the United States ready to get going on the start-up they had been discussing for months. Compelled by the mission and what Bookman described as a collective “naiveté” about the challenges that lay ahead, they dove in head first and started the company. Lonsdale and Bookman wrote the first checks and assumed board of directors positions with Lonsdale as chairman for what was then called Delphi Solutions—the name changed a year later to OpenGov Inc. Sloss and Levine, as CEO and CTO, respectively, got the company off the ground in Los Altos, California.

Fast forward ten months and Sloss had stepped out of the company. Levine had returned to Stanford University—he had taken a break his junior year to start the company and later came back to help in multiple key business roles after finishing his degree. Having returned to the United States earlier that summer, Bookman was now CEO. OpenGov began the year with an ambitious vision to build the “Government Cloud” and replace years of old, broken back-office systems in America’s state and local governments. Yet nearly a year in, the company was experiencing

¹ This is a case study premised on Amy Wilkinson’s book, *The Creator’s Code: The Six Essential Skills of Extraordinary Entrepreneurs* (Simon & Schuster, 2016).
<https://www.simonandschuster.com/books/The-Creators-Code/Amy-Wilkinson/9781451666090>.

² Interview with Zachary Bookman, December 10, 2018. Subsequent quotations are from the author’s interviews unless otherwise noted.

Lecturer Amy Wilkinson prepared this case solely as the basis for class discussion. Stanford GSB cases are not intended to serve as endorsements, sources of primary data, or illustrations of either effective or ineffective handling of an administrative situation. Funding for this case was provided by the Stanford Graduate School of Business. This case was reviewed and approved before publication by a company designate.

classic start-up struggles: team changes, no revenues, a mere prototype of a first product—and no clear product roadmap, strategy, or market fit.

Bookman left a promising career in law and foreign policy to embark on this entrepreneurial journey. Before working at the International Security Assistance Forces in Kabul, Bookman studied corruption in Mexico on a Fulbright fellowship and served as a law clerk in the federal judiciary. Although he had encountered a range of new and challenging experiences, including helping Lonsdale start Formation 8, a leading venture capital fund (now 8VC), building an enterprise software start-up was even more difficult than he expected. Bookman wondered to himself, “What have I done? What should we do now?”

How It Started

The idea for OpenGov grew out of a nonprofit, which Lonsdale started in 2010 with a couple of other technologists (including Levine) from his alma mater, Stanford University (see **Exhibit 1** for founder bios). Bookman served as a board member. The purpose was to study the California budget crisis after 2008, when local governments across the state were caught by surprise as the nationwide financial crisis dried up their revenues. Analysts were concerned that 12 cities in the state might go bankrupt in the aftermath of the Great Recession of 2007-2008, and three actually did: Vallejo, Stockton, and San Bernardino. The team found it alarming, as Bookman recalled, that “these bedrock institutions were not on bedrock at all.”

It was a cocktail of dysfunction: At a time when more residents than ever were turning to their local governments for help in the depths of the recession, governments struggled to maintain services and fulfill their basic charters. “We have to solve this,” the team noted, reasoning, “What could be more important?”

In deciding whether to press on after early setbacks, Bookman knew that the founders had a few key ingredients to work with: 1) Lonsdale’s credibility and connections had enabled the company to raise a healthy round of seed funding; 2) early recruiting by Sloss and Levine had brought in a core group of smart, passionate people eager to tackle these problems; and 3) the initial product prototype had attracted interest from several governments across the state. With those factors in mind, Bookman believed it was worth the risk to fight for the mission.

Lonsdale was steadfast in his commitment: “When there is a huge problem critical to solve for society, there is often a great company to create.”³ Bookman doubled down on the company’s ambitious vision by getting back to the basics:

We pared the team down to the best people we had, set to work focusing on small goals, and tried to create any momentum we could. Hire one engineer, sign one customer, build one feature. I spent the holidays reading a three-inch thick reference book on government finance. Our senior engineer Mike Rosengarten assumed the CTO role, and together we started building brick by brick.

³ Interview with Joe Lonsdale, February 4, 2018. Subsequent quotations are from the author’s interviews unless otherwise noted.

ANALYZING OPENGOV THROUGH THE LENS OF *THE CREATOR’S CODE: THE SIX ESSENTIAL SKILLS OF EXTRAORDINARY ENTREPRENEURS*.

Find the Gap

The premise behind “finding the gap” is that by staying alert, entrepreneurial leaders can spot opportunities that others do not see. They keep their eyes open for fresh potential, a vacuum to fill, or an unmet need to satisfy. To do this, they tend to use one of three distinct techniques: transplanting ideas across divides, designing a new way forward, or merging disparate concepts. Entrepreneurial leaders who master these approaches are characterized by Professor Wilkinson as Sunbirds, Architects, or Integrators, respectively.

One thing the OpenGov founders did well was to talk to customers early and often. Sloss, in particular, listened to customers’ ideas, kept an open mind, and identified market needs. At the start, the OpenGov team spent considerable time with the management of the city of Palo Alto, including City Manager Jim Keene, CFO Lalo Perez, and CIO Jonathan Reichenenthal. They learned that Palo Alto had paid more than \$10 million to SAP for an ERP system—Enterprise Resource Planning software for accounting, HR, utility billing, and other transactional processing functions—that came with green screens and was delivered on 20 disks.⁴

As the founders talked to more governments and experts, they saw a pattern. The state of California was using an accounting system written in COBOL, the programming language most popular in the 1960s. These types of on-premise systems were disconnected from the Internet, meaning that data and information about government operations were siloed across multiple systems. Users often had to spend long hours running queries or conducting analysis in tools like Microsoft Excel, and they were forced to pay consultants to build integrations and custom workflows. Tracing the many gaps in these systems, the OpenGov team started laying out a vision to fill the gaps with modern cloud-based solutions (see **Exhibit 2**).

Early on, Sloss and Levine, and later Bookman spoke to at least a dozen governments and a multitude of experts to determine which solutions made the most sense to build, and in what order. One expert they spoke to, Mike McCann, served as assistant finance director for the city of Monterey and had previously served as CFO of Ukiah, California. McCann was just a few weeks from taking an early retirement when they met. As he put it, “I had a plane ticket to Hawaii, where my sister lived, in my pocket.” After ruminating on the meeting, however, McCann called Sloss and said, “I have been waiting 20 years for this vision, and I’m so inspired that I will drive from city to city to sell this.” After speaking with Bookman, who was on his way home from

⁴ Enterprise Resource Planning (ERP) is business process management software originally developed in the 1950s to streamline the complicated manufacturing supply chain. After its early use cases, ERP was modified to run many corporate back-office functions related to accounting, HR, and planning. The ERP market grew dramatically in the 1980s and 1990s with the emergence of major players like Oracle and SAP. Once these companies established themselves, they later took their product sets into the government market, often using consultants to help sell and then customize and deploy the software. As the OpenGov founders discovered, the private sector-focused technology created a host of problems as it was shoe-horned into the public sector market. Most notably, ERP technology was ill-equipped to handle multi-fund accounting (as opposed to corporate accounting) in the government domain, and it also struggled to deal with vertical workflows found in utility billing, permitting, licensing, and public safety.

Afghanistan, McCann joined OpenGov. He closed OpenGov's first paid engagement with the small town of Bishop, California; ran the early deployments; and helped recruit and manage a team of subject matter experts that left the public sector to join OpenGov on its mission to power more effective and accountable government.

Having seen a host of challenges stemming from the disconnected nature of on-premise legacy ERP systems, Bookman shaped the company's product roadmap to progressively address those challenges. The first product, Transparency, provided digital budget data visualizations using the government's own chart of accounts and a pivot table-like functionality to allow the user to move deep into the accounting data while starting from an intuitive one-screen summary of their income statement and budget. Transparency addressed the challenge of presenting complex data in a format that internal and external stakeholders, like citizens and legislators, could understand.

Palo Alto launched the product as the nation's first interactive digital budget. "Cities started writing to us saying 'how do we do this?'" As we began working with multiple cities, we saw more of those antiquated green and white screen systems and started learning the market and its pain points," Bookman explained.

OpenGov had "found the gap," and the Transparency product helped create the first category where the company would be a market leader. The category would grow to include open data portals for accessing public information, and a broader set of public engagement technologies to tell data-rich stories, issue surveys to collect resident feedback, and conduct online forums. The state of Ohio bought a piece of Transparency for every local-level government in that state, eventually exposing more than 1,000 governments to the OpenGov platform. As a result, Ohio vaulted from number 46 in transparency in the nation to number 1 three years in a row, according to the public interest group U.S. PIRG.⁵

Drive for Daylight

"Driving for Daylight" refers to the long-term focus of entrepreneurial leaders. As race car drivers round a corner, their eyes scan the road immediately ahead before assessing the furthest visible obstacle. Drivers move too fast to hang up on any individual bump ahead of them, or to focus on the individual positioning of the cars nearby. The only way to victory is to locate the best path forward quickly, then fix one's eyes on the next turn and have the car follow. Similarly, entrepreneurial leaders can set the pace in a fast-moving marketplace by recognizing patterns in the market and how they can fit in with the future goal, without being distracted by the bumps along the way.

Although they set out to build a modern cloud ERP company that would power governments across the country and replace legacy systems, Bookman and the team initially had to focus on small goals. "We needed to win some customers, gather data, start the product feedback loops, and get the revenue machine turning," he explained. It would take years to build the product architecture,

⁵ Rachel J. Cross, Michelle Surka, and Scott Welder, "Following the Money 2018: How the 50 States Rate in Providing Online Access to Government Spending Data," U.S. PIRG, April 2018, https://uspirg.org/sites/pirg/files/reports/FtM%20NATIONAL%20FINAL%20VERSION_0.pdf (March 3, 2019).

sales and engineering skill sets, industry experience, and professional services capabilities that the company would need to deliver something genuinely new and mission-critical.

Product Phase 1: Transparency

The team learned early on that selling technology to state and local governments required focus and fortitude. They pounded the phones, traveled to conferences, and learned to cope with the sting of repeated rejections. “I remember conference goers cutting a wide path to stay away from the weird new GovTech booth with flashy screens full of colorful charts,” said McCann. In time, Bookman and McCann were able to gain an audience with forward-thinking government operators who knew the public sector needed to leverage technology to drive efficiency and accountability.

After grinding for a year and a half on this new category, the company won a market leadership position with its vision for the future and attractive technical functionality. Notwithstanding the progress, however, it had become clear that the Transparency category commanded low prices and limited user engagement. It wasn’t alleviating daily pain points for most senior executives and, given the expensive and lengthy sales cycles, Bookman feared the company would struggle to recoup the heavy investment required to build and distribute such a lightweight point solution. The company had to move further into its product strategy rather than just invest resources in scaling up the first solution.

Product Phase 2: Financial Reporting

Bookman pushed the team to embrace Financial Reporting and evolve the messaging and positioning in the market toward this higher-price point, internal set of use cases. This shift did not come without opposition. Well-intentioned employees and even executives questioned the company’s strategy, as they had come for “Transparency” and interpreted the evolution as veering from the mission. It was also the first taste for Bookman and the team of how hard it could be to “reposition” a company in the market—customers were just starting to learn about OpenGov as the Transparency company. What did that have to do with internal operations?

For those governments that did understand, they had significant product demands: Could the product handle encumbrances?⁶ Could it drill from the summary level down to the transaction? Was there Single-Sign-On? Could the platform meet their enterprise security requirements?

Product Phase 3: Budgeting and Planning

As it started gaining market share in Reporting, lower-priced competition from larger horizontal players like Tableau and Microsoft PowerBI began to affect deal cycles. Bookman could see that Reporting (like Transparency) was not a standalone, must-have product and that the company had to get to more mission-critical workflows (like budgeting) that had higher end-user adoption and thus higher price points to support a growing and expensive direct sales force.

⁶ Encumbrances represent amounts a government has committed to pay for goods or services that were not received prior to the end of a fiscal year. Governments were generally reporting such amounts as reserved fund balances.

OpenGov made the decision to start building Budgeting at an intense E-team offsite in 2015. At the time, feature requests were pouring in for Reporting, complicated deployments were weighing on the team (it was especially hard to deploy nice-to-have non-mission-critical products, because the buyer often failed to prioritize the implementation), and short-term sales milestones seemed necessary to achieve the next round of funding. Bookman recalled the discussions at the offsite: “Half the executive team was not in favor of going into Budgeting, wanting to pursue reporting improvements like cutting-edge comparison capabilities so governments could learn and share from one another. After significant deliberation, I figured we had to build budgeting because customers “come for the tool and stay for the network,” not the other way around. Multiple employees, including some executives, ended up leaving in the following months.

After more than a year of development, the Budgeting & Planning suite launched late in 2016 as a prototype that would allow government departments to submit and automatically roll up their operating budget proposals. This promised significant time savings over what had been a laborious and patchwork process. Agency leaders would email Excel files or deliver paper requests to a central budgeting office, which would then have the unenviable job of collating hundreds of thousands of rows from many different documents within a spreadsheet and ushering the budget figures through countless changes and levels of approval.

OpenGov eventually built an array of modules in the suite to streamline Capital Planning, Workforce Planning (personnel cost forecasting), and the online publication of the government’s Budget Book. As they allocated each dollar in OpenGov, cities, counties, and state agencies could track expenditure plans according to the priorities or goals of the community, then report upon and communicate this information up and out to key stakeholders. The product suite evolution drove price points higher, usage spiked (particularly during budgeting season—for California, this is the first half of the year, leading to a June 30 fiscal year-end), and sales cycles became more predictable.

But by 2018, the relatively quick development of products with distinct use cases had created internal confusion and lack of alignment. Teams of employees focused on different product lines, each of which had different buying and implementation cycles. Many customers did not recognize the company that they had first engaged with years prior, and it proved difficult to update their understanding as to what OpenGov now offered and how valuable it could be to government operations.

Bookman knew it was imperative to have the entire company aligned in order to take a unified product suite to market in a coherent way. “It felt existential,” he explained. “Without a single identity for employees to sign on to and a single message that could be drummed into the market, the pace of the company’s development and growth would stall.” In June 2018, after missing its first-quarter target, Bookman called a meeting for the company’s extended leadership team—over 30 managers, directors, VPs, and C-level executives.

He opened the meeting by announcing that OpenGov was a Budgeting company. “This is not a transparency company, not a reporting company, not a data company, not an analytics company, and not a Business Intelligence company. We are a budgeting company.” The room was silent, and a little confused. Bookman continued, even more strongly: “Anyone who does not understand

this will have the opportunity to be educated and trained on this. But we must be one team on one mission.”

McCann put a picture on the projector dating back to summer 2012. It showed a photograph of a large whiteboard-painted wall in the old OpenGov office, which some affectionately called a “three-bedroom apartment,” depicting the workflow of his former municipal budgeting process at the City of Ukiah. He reminded the team that “even in OpenGov’s early days, the long-term vision had been to grow into a Budgeting company,” and then later ERP.⁷ David Reeves, at the time the company’s chief revenue officer (he would soon thereafter become president), told the team: “This is our chance to get to the next level, to step up towards our north star of \$100 million in revenue.”⁸

After a long pause, Bookman looked across the room of leaders and asked, “Are you on board? Who’s coming with us?” The group rallied. And the company delivered a record second quarter. In fact, the subsequent three quarters flowed more smoothly than any in the company’s history. Not only did OpenGov beat its quarterly and annual targets, but Reeves and the go-to-market team began to accurately forecast on future quarters.

Product Phase 4: Completing the Cloud ERP with Financials and Citizen Services

As OpenGov steadily gained a leadership position with its more mission-critical Budgeting & Planning suite, the next step in its evolution was to deliver on the company’s original dream of a modern ERP designed for government. The pieces of the puzzle came together through two strategic acquisitions.

The first piece solidified in late 2018, when OpenGov completed the acquisition of an established, bootstrapped financial management system provider in Texas. OpenGov had partnered with the company, known as STW Inc, a couple of years earlier during its Reporting push and saw a hidden gem. The company was small, founded in 1992, with on-premise software and roughly 85 customers. Although it did not scream “industry-disrupting technology” on the surface, the company had a couple of key attributes that made it a great base from which to build the eventual OpenGov ERP Cloud—3,000 screens of mature, robust accounting, payroll, and utility billing software and decades of subject matter expertise in extremely complicated municipal workflows and government business processes.

OpenGov worked in stealth to “forklift” the product to the cloud and integrate it with the Budgeting & Planning suite as well as the Transparency & Reporting platform, where the early products had been aggregated and packaged. OpenGov CTO Ammiel Kamon set about blending different “build” cultures and articulating a multiyear product roadmap to rewrite the Financials suite and set it up for a true cloud transformation.

An additional piece of the ERP puzzle came at the end of 2019 with the acquisition of a company in Boston that boasted one of the only fully cloud-based Citizen Services suites in the market that

⁷ Interview with Mike McCann, February 11, 2018. Subsequent quotations are from the author’s interviews unless otherwise noted.

⁸ Interview with David Reeves, February 6, 2018. Subsequent quotations are from the author’s interviews unless otherwise noted.

delivered cloud-based permitting, licensing, and code enforcement. Founded 24 years prior and known as Viewpoint Inc., the company had rebuilt its software in a multitenant environment and was starting to see significant growth from its humble origins in New England. It had never raised outside capital (a feature of many established companies in this industry, given the long build and distribution cycles) and yet was eager to invest further in the product suite and take it nationwide. The team aligned around the vision, culture, and ambition of OpenGov to build the ERP Cloud. And beyond the bread and butter Citizen Services (PLC) use cases, the product had robust workflow capabilities that held the potential for new opportunities such as administering grant applications or even invoice approvals.

Eager to make bold moves and execute on the compelling and shared vision, Bookman arranged a Series D financing, in part to underwrite the transaction. The acquisition was completed in September 2019, capping almost \$90m in transactions in the prior sixty days, including an equity raise, a small debt line, and the M&A.

Rebranded as OpenGov Citizen Services, the suite found success in the market as cities and counties responded to the prospect of a modern system coupled with the vision, mission, values, and enterprise sales and services resources of the broader company (see **Exhibit 3**).

On April 28, 2020, OpenGov launched its Cloud ERP to the public consistent with its founding vision. The efforts to expand from a market-leading Transparency & Reporting platform and then Budgeting & Planning suite to the complete back office ERP and robust Citizen Services suite was complete. After eight years of development, governments could now run a major portion of their administrative functions entirely in the cloud using the modern, efficient, flexible, and secure cloud technology that OpenGov's founders initially believed they deserved.

Fly the OODA Loop

“Fly the OODA Loop⁹” was a way to emphasize how entrepreneurial leaders master fast-cycle iteration, continuously updating their respective assumptions. Like legendary fighter pilot John Boyd, who pioneered the idea of the OODA loop—Observe, Orient, Decide, and Act—entrepreneurial leaders had to move nimbly from one decision to the next, observing, orienting, deciding, and acting in rapid succession. Those who mastered fast-cycle iteration could, in short order, gain an edge over less-agile competitors.

For Bookman, fast decision making was key to the success of the business. He explained:

Some of the biggest mistakes I've made in my journey as CEO occurred from not moving quickly and making hard decisions. I've seen businesses die when founders or others are too averse to conflict and to change.

OpenGov was not new to acquisitions when they acquired the Financials and Citizen Services companies in 2018 and 2019. The first acquisition dates back to 2016 when the company got the

⁹ Definition: The OODA Loop: Observe, Orient, Decide and Act. In a nutshell, the “disruptor’s handbook.” See David K. Williams, “What a Fighter Pilot Knows About Business: The OODA Loop, *Forbes*, February 18, 2013.

opportunity to showcase its ability to “Fly the OODA Loop” (see **Exhibit 4**). An unexpected competitor in Seattle named Socrata came on the radar. Socrata was a ten-year-old company with a separate but related product called Open Data. OpenGov was alerted by some of its customers that Socrata’s sales reps were calling down OpenGov’s customer list, looking to grab business. Socrata appeared to be watching OpenGov carefully: Socrata’s website bore an uncanny resemblance to the OpenGov website, for instance. At one point, OpenGov noticed that Socrata ran a webinar just two days before OpenGov had a long-scheduled webinar on the same topic. And it had the support of the same sponsor—the Government Finance Officers Association—for the webinar.

Bookman and the team began studying the market for open data products and saw that indeed the two spaces would converge. It was critical to act, and the question then was whether OpenGov should partner, build, or acquire the missing capabilities. Bookman first approached the CEO of Socrata to explore the option of a partnership, but it became apparent that the trust level was not high and the competitor was too far down its path. OpenGov had to compete by either developing its own product or acquiring one. David Reeves and others noted that, given severe time pressure and a corresponding lack of product knowledge around this adjacent space, OpenGov should look to acquire.

After surveying the market landscape (and nearly overpaying for a company that turned out to have serious tech deficiencies), OpenGov found a small company in New York that had top experts in the open source open data market. The leaders aligned on vision and culture and the OpenGov team acted quickly to acquire the company on April 1, 2016. The acquisition proved a game-changing decision, as OpenGov quickly built out an Open Data business and began to win marquee accounts across the country, including major agencies in the state of California and cities like San Antonio, Texas; Milwaukee, Wisconsin; and Phoenix, Arizona (see **Exhibit 5**).

In combination with its other products, the company began beating Socrata in the converging space. With its growth rate slowing, Socrata put itself up for sale and was acquired by Tyler Technologies, a public company and the largest player in the space. Although it did not intend to go into the Open Data market, OpenGov found the move synergistic and the experience demonstrated to the executive team that inorganic growth could play an important role in OpenGov’s overall strategy.

Less than a year and a half later, another company approached OpenGov. This time, rather than trying to kill OpenGov, the company—Peak Democracy, located in Berkeley, California—asked if OpenGov would be interested in acquiring it. Peak Democracy’s two cofounders had bootstrapped a profitable business over nearly ten years, with more than 100 customers and a market-leading “Open Town Hall” application, which allowed governments to run online forums and surveys to increase public participation. One founder had health problems he needed to focus on and, although both cofounders were ready to move on, they felt it very important that their “baby” find a home with a mission-driven, values-aligned company with an ambitious product vision. Based on the integrity of the two cofounders and the quality of their product, Bookman figured this could be a good tuck-in opportunity to expand OpenGov’s product set and customer base.

OpenGov completed its second acquisition in a relatively straightforward fashion. The move reinforced the potential in building a corporate development muscle to increase the company's ability to execute such transactions and speed growth. Given the expense required to build a direct sales go-to-market model, each additional product in a sales representative's "bag" can help raise the average sales price on new deals and lower the cost to acquire a dollar of revenue.

Similarly, given that governments required a wide breadth of product features (often to match their legacy systems or workflows), it could take many years and large R&D budgets to build organically toward these specific needs. Accordingly, the OpenGov team embraced acquisitions as a cash-efficient, high-velocity method of growth and part of its long-term plan. A fifth acquisition that added a module for bank reconciliation to OpenGov's Financials suite was completed in 2020.

Fail Wisely

Entrepreneurial leaders are never strangers to failure, and the best leaders often fail the most due to the difficulty of the problems they attempt to solve and the number of tries they make. The hallmark of a successful entrepreneur might be the resilience to press on and use the lessons learned from small failures to avoid potentially catastrophic mistakes and make the right future decisions. To practice and master this skill, entrepreneurs set failure ratios, place small bets to test ideas, and continue to develop resilience.

"What is my failure ratio? It's probably 49 percent," Bookman explained:

It's tough to do an honest assessment. But it's high. The real challenge is to admit mistakes and fix them. Very few mistakes can't be fixed and the right question is how quickly you accept that you've made a mistake and how courageously you solve for it. Unlike fine wine, as they say, mistakes do not get better with age.

Assembling an effective marketing team was a persistent challenge for OpenGov. Few marketers from top tech companies had deep experience in an old-line industry like government. "As I like to joke, most people go to Silicon Valley to get away from government," Bookman noted. By the same token, while there were people with experience marketing in the government vertical, few of them could match the pace and creativity that the OpenGov team craved.

Replicating private sector marketing tactics and using traditional enterprise playbooks around demand generation ignored the nuances of marketing to governments. In one example, an early VP of marketing pounded the state with email blasts. Bookman recalled, "At one conference, a customer I knew approached me, visibly upset. She implored us to 'please stop emailing all the time.' A prospect walked by, overheard this, and chimed in with his own demand to stop the email bombardment." Bookman eventually had to let that VP go, which caused turmoil on the team, and prompted a reset of the entire marketing strategy.

After more mistakes, Bookman asked Reeves to take over marketing. Reeves decided to change course and spend time without senior hires who had "been there, done that." Instead, he promoted talent from within. This new strategy proved successful for a couple of years, as rising directors took the reins and began moving faster on key initiatives. Two lessons that Bookman learned

involve the need for tough and authentic conversations early with employees around fit and performance and the importance of cultivating and developing talent as opposed to just recruiting from the outside.

Perhaps the most significant strategic mistake for the company involved over-investing in sales early on. “At various times, you misread factors in the market that tell you things may be better than they are. It’s hard in enterprise sales, particularly government technology,” Bookman explained:

You’re making large investments to get salespeople trained up before they are productive and earning revenue or paying for themselves. If you are too slow to hire and train, you leave money on the table. If you move too fast, you’re spending on people and things that earn nickels when you could have waited to spend on people and things that earn silver dollars. When the hourglass is ticking on an unprofitable company, getting these choices right can be live or die.

OpenGov had two problems in this regard: It hired too many salespeople too quickly, and it also hired the wrong salespeople. The first problem highlighted the need for greater predictability in product development and planning. “Looking back,” Bookman remarked, “the money spent increasing our distribution capability might have better served the company in the form of investments in more rapid development of the product or just retaining dry powder and extending run room.”

The second problem was more nuanced. As OpenGov moved upmarket from a point solution to an enterprise solution, it needed a more sophisticated sales methodology. Selling Transparency was possible over the phone with lower-cost and less-experienced transactional sellers. Their focus was on volume and calling through the accounts presented to them. OpenGov’s Budgeting and Planning software, and the full OpenGov ERP Cloud, require the ability to multi-thread many stakeholders in a complex selling process, lead executive and board-level meetings, navigate procurement processes, and mobilize internal product and deployment teams.

One of Reeves’s first moves upon arriving at the company was to transform the skillsets and talent on the team, while re-balancing the sales staff to eventually include sales development, sales engineering, and procurement functions. The transformation of the company’s workforce from one geared toward a point solution to a more mission-critical suite was difficult and costly, but essential to the company’s long-term viability. Moreover, larger enterprise wins allowed Ammiel Kamon and the R&D organization to undertake its own transformation both in personnel and in process to keep pace with increasing product, platform, and customer demands. A flywheel started turning.

Network Minds

Entrepreneurial leaders bring together the brainpower of diverse individuals through on-and-off-line forums to solve multifaceted problems. They harness cognitive diversity to build on each other’s ideas. They network minds. To achieve this, they design shared spaces, gather tiger teams, play and socialize together, and build work-related competitions.

Alongside more typical Silicon Valley talent, OpenGov recruited top government finance minds like Mike McCann and Kent Hudson as well as nationally-renowned advisors with deep public sector experience like George Shultz and Larry Summers. When top people in an industry want to join a company's mission, that is often a good sign for the company's vision and potential. They pair with management talent to help the company dial in to the vertical. OpenGov brought in a diverse array of other viewpoints, from PhD engineers to college dropout designers; from venture capitalists and corporate board members like Marc Andreessen and John Chambers to wide-eyed recent graduates and do-gooders; and experienced executives like CFO Paul Denton to help rationalize the company. The common thread among the team is an intense mission drive and an appreciation for a performance-focused culture. For Bookman, "so much of the fun and upside rests on the quality of the people and team. You want people who are passionate and take the initiative."

Networking minds, however, often came with conflict. The diverse team at OpenGov felt uncomfortable at times. Bookman explained, "most jobs often feels like one long series of awkward conversations. If you are not having awkward conversations, you are probably not doing the job." Building on the ideas of others required the team to iron out its wrinkles. "It means you're talking about problems like a professional. I judge the quality and success of our managers in no small part on their ability to surface conflict and drive alignment," Bookman noted.

At the June 2018 OpenGov leadership meeting, Bookman's focus on facilitating difficult conversations played out. After detailing the company's strategic vision and history, Bookman gave each employee two minutes to respond, ask questions, and state what they could do to improve alignment and execution. After all the employees present had stated their position and voiced excitement and concerns, the team arrived at a unified path forward by building on each other's ideas.

Bookman didn't stop there. He made his rounds at the office in the weeks that followed, stopping by desks to look people in the eyes, see how they were doing, and reiterate the new positioning. He did this with engineers, accountants, customer success managers, everyone. The result? "We all drove toward a goal of reaching 200 Budgeting and Planning customers for 2018, and we ended the year with 280, far surpassing our goal and more than doubling our 2017 number," Bookman recounted. He had the vision and felt a need for unity around the strategic focus, but it was the other leaders' ideas that surfaced at that meeting and their buy-in that made the vision tangible and the execution possible.

The transition to OpenGov 3.0 and the OpenGov ERP Cloud presented fresh challenge, but Bookman hoped it would be a little easier given the company had built some "repositioning muscles."

Gift Small Goods

In an increasingly transparent and interconnected world, generosity helps make entrepreneurial leaders more productive. Entrepreneurial leaders unleash generosity by helping others, often by sharing information, pitching in to complete a task, or opening opportunities to colleagues. Offering kindness and exchanging favors might not seem like a skill, but it is an essential way to strengthen relationships and an increasingly important skill.

Small acts of support and assistance were fundamental to how Bookman ran OpenGov. “We have been given so much. We want to give back to our communities, but also to each other,” he explained. As an example, when Bookman found out that an employee’s father was struggling with cancer, it hit home—Bookman’s mother had died from cancer earlier that year. Bookman immediately wrote the employee a personal note and shared his own painful story. When the employee returned to work, Bookman recalled, “We went out to dinner and I told him that we are here to support him in any way possible.” Subsequently, Bookman received a beautiful note back from the young man in appreciation for the support and encouragement of the OpenGov team.

These acts of camaraderie permeated the OpenGov culture. On October 8, 2017, for example, engineering intern Noel Parisi and her family lost everything in the Tubbs Fire in Northern California. Upon hearing the news, the company made a contribution to a Go Fund Me campaign that Noel’s manager had created the day after the devastating wildfire. Bookman spread the news, and as a result, 8VC, one of the investors in OpenGov, also donated later in the month. At the November 2017 All-Hands meeting (known to OpenGov employees as the “State of the Start-up”), Parisi stood up and thanked her colleagues for their tremendous support in helping her get her life back on track. Parisi became a full-time employee in December 2017, Bookman shared. “Noel is a spirited and team-oriented colleague who occasionally handles office tours for VIP visitors because of the amount of positive energy she brings. She interviewed California State Treasurer Betty Yee in a fireside chat about politics and women in leadership in front of the whole company.”

Bookman believed early in the power of building an ecosystem around relationships and paying it forward. He had seen the benefits accrue in both directions. In 2016, for example, John Chambers, former chairman and CEO of Cisco, met Bookman at the World Economic Forum (WEF) in Davos. The WEF had named Bookman and the company a “Tech Pioneer” and invited him to speak in Switzerland on a panel titled “The Transformation of Tomorrow,” alongside Sheryl Sandberg and Satya Nadella. Chambers came up after the talk and offered to hold a mentorship session in the Strategic Partners Lounge. After spending an hour detailing business challenges and gleaned insights and feedback, Bookman stopped and asked Chambers, “Why are you talking with me?” It surprised Bookman that such an accomplished leader would lend him this much time on his business challenges and opportunities. Chambers explained that his own mentors included Lou Platt (former CEO of HP), Jack Welch (former CEO of GE) and Shimon Perez (former prime minister of Israel), and that it was his time to give back.

After more meetings and mentorship, Bookman asked Chambers to join the OpenGov board. Among many lessons imparted, Chambers coached Bookman to soften up as CEO. With so much pressure and stress across the organization, Bookman needed to work on slowing his reaction to situations and toning down the intensity. Chambers advised him to become more predictable and to bring a more calming influence to the company—so employees could stay focused and execute on their work without being confused by organizational changes or sideswiped by new ideas. In the months that followed, and thanks to coaching and programmatic work on People Operations, Bookman’s approval rating on Glassdoor, a website where employees and former employees could review companies and their management anonymously, grew from 57 percent to 91 percent.

“For a leader, a key measure of success is often how much energy you have to give to your employees, company, and mission,” says Bookman. In the government technology industry more

broadly, Bookman frequently talks about the importance of building a positive ecosystem where entrepreneurs and companies could respect and even help one another in service of the greater mission around strengthening both country and society. The many personal relationships that Bookman and the company have formed provide a positive morale boost to the team. With entrepreneurs and founders more likely to work with and partner with a mission-driven company rather than a public- or private equity-backed rollup, it's likely the OpenGov ecosystem can help broaden the potential M&A pipeline as well.

FORWARD-LOOKING: WHAT LIES AHEAD FOR BOOKMAN AND OPENGOV?

OpenGov started 2020 with a bang with the launch of the OpenGov ERP Cloud. The technology had evolved from a single point solution into the industry's first fully cloud-based and integrated suite of suites, consisting of a Budgeting & Planning Suite, a Financials Suite, and a Citizen Services Suite, all on top of a best-in-class Reporting & Transparency Platform. The company had grown from a half dozen modules of software to more than 30.

In addition to the excitement, the challenges ahead are manifold. How will OpenGov efficiently deploy and sell entirely new and complicated product lines? Can it reposition itself in the eyes of employees and the market yet again? What are the incumbents likely to do now? OpenGov must navigate a market in a period of rapid transition and consolidation. Should it go bigger and broader—or double-down on its success in the Budgeting & Planning space while slowly expanding into ERP? If the company grows slowly, will it get swallowed up by larger incumbents or fail to “shoot the gap”? If it moves too aggressively or too broadly, will the company outpace its expertise and capabilities and “get too far over its skis”? Will investors or debt-providers fund even more aggressive investment and expansion?

At least six private equity-backed roll-up plays involving the merger and acquisition of multiple companies were taking place in the market in 2020—two examples were Granicus, which was owned by private equity firm Vista Equity Partners (Vista); and Central Square, jointly owned by Vista and Bain Capital. Large competitors include Tyler Technologies, Oracle, Microsoft, and Infor (see **Exhibit 6**).

For Bookman, the years ahead present a balancing act. OpenGov is investing heavily to integrate and mature the product suites into a “branded house” as Kamon calls it – a powerful “suite-of-suites” that manages more than 500 business processes to keep a government's administrative functions operating smoothly and effectively. The company needs to build out its professional services and deployment capabilities to match the breadth of the products and the market opportunity and the unique needs of complicated enterprise customers. And investors, particularly during recessionary periods, care about improving sales efficiency—OpenGov must take its ERP Cloud to market as efficiently as possible. How can OpenGov balance near-term demands with its long term vision to bring the cloud to every public sector official and its ambitious long-term goals to navigate a path to \$100 million in recurring revenue and profitability?

The company has become one of the largest non-private equity, non-public companies in the space, yet it still has much to get right. Should it acquire more companies or focus on organic build? Should the company hunker down to outlast the COVID-19 pandemic or put its foot on the gas as governments try to get to the cloud? Can OpenGov's ERP Cloud immediately stake its claim in

the market, or will it take time to establish itself and ramp up sales? Bookman and the OpenGov team have made many difficult decisions to get to this point and that theme is likely to continue. That is always the double-edged sword of building a successful technology company from infancy to scale.

STUDY QUESTIONS

1. How can Bookman leverage the Six Essential Skills to continue to scale OpenGov as a breakout business?
2. Which of the Six Skills are Bookman's strengths? What skills does he likely need to strengthen as he gears up for 2021 and beyond?
3. If you were CEO, what would you focus on? Who would you turn to and what immediate decisions would you make?
4. Will OpenGov flourish as a stand-alone company? How would you best align the team to succeed?
5. What challenges do you think OpenGov will face in 2021 and beyond?

Exhibit 1

OpenGov Biographies

Zachary Bookman, Cofounder and CEO

Before cofounding OpenGov, Zac served as advisor to U.S. Army General H.R. McMaster on the anti-corruption task force at the ISAF headquarters in Kabul, Afghanistan. He was also a founding employee at Formation 8 Partners, a venture-capital fund in Silicon Valley (now 8VC). He previously practiced trial litigation at Kecker, Van Nest & Peters in San Francisco and served as a law clerk to the Honorable Sandra S. Ikuta on the U.S. Court of Appeals for the Ninth Circuit. Zac was a Fulbright Fellow in Mexico, and he holds a JD from the Yale Law School, an MPA from the Harvard Kennedy School, and a BA from the University of Maryland.

Joe Lonsdale, Chairman and Cofounder

Joe is a cofounder of Palantir, a multibillion-dollar global software company best known for its work in defense and finance. Most recently, he is a founding partner at 8VC, a multi-billion dollar venture capital firm in San Francisco and Austin. Before that, he founded Addepar, which has over \$1.3 trillion managed on its wealth management technology platform, and OpenGov, the cloud software leader for over 1,000 municipalities and state agencies. He is also a founder of Affinity, Anduin, and Esper. Previously, Joe was an early executive at Clarium Capital, which he helped grow into a large global macro hedge fund. He also worked with PayPal while he was at Stanford. Joe received a BS in computer science from Stanford in 2003. He often lectures and writes on entrepreneurship, technology, and public policy.

David Reeves, President

David is an experienced operations and go-to-market leader with more than 20 years of experience driving transformational revenue growth with leading enterprise software companies. Prior to OpenGov, David was the Senior Vice President of Sales at Zuora, the subscription commerce and billing leader. During his tenure at Zuora, revenue grew from \$16 million to \$100 million. Before that, David served in a variety of executive roles including Senior Vice President of Worldwide Sales for the SLM business unit and SVP WW Sales Operations at PTC—helping them grow from a \$600 million to a \$1 billion+ industry leader. David holds a BA in political science and history from the University of Wisconsin-Milwaukee.

Ammiel Kamon, Chief Technology Officer

Ammiel brings more than 20 years of product and technology leadership and enterprise growth experience to OpenGov, overseeing the engineering, product, and design organizations. Prior to joining OpenGov, he was the SVP of Products at Amobee, helping to grow revenues to more than \$400 million globally. Previously, Ammiel was the SVP of Product and Marketing at Emptoris (acquired by IBM) where his teams defined and led the Strategic Sourcing SaaS market. He was also one of Netscape's earliest product managers, leading multiple products and eventually serving as VP and GM of one of the engineering divisions. Ammiel holds a BS in computer science and business from Carnegie Mellon University.

Paul Denton, Chief Financial Officer

Paul has more than 25 years of strategic leadership experience as an executive at numerous emerging-growth companies. Before joining OpenGov, he was CFO at Skyport Systems, acquired by Cisco; CFO at OpenDNS, also acquired by Cisco; and COO/CFO at ScaleXtreme, which was sold to Citrix. Prior to ScaleXtreme, he was part of the management team that grew and then sold Zvents to eBay-owned StubHub. He has held other executive roles at FusionOne, Determina, Andale, Talima Therapeutics, and Zembu Labs. Earlier in his career he worked as a management consultant for Booz & Company and an Operations Manager for Exxon/Esso Petroleum. Paul has an MBA from Stanford Graduate School of Business, a BS with honors in chemical engineering from University of Birmingham, UK, and is a chartered engineer.

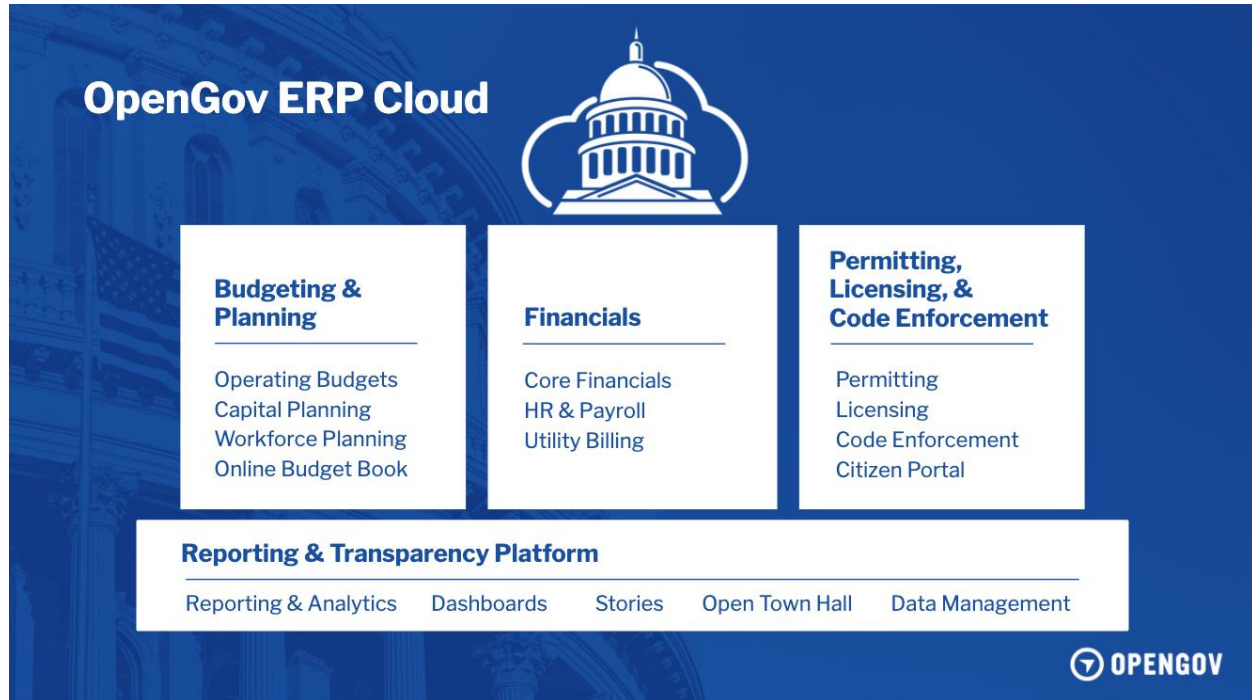
Mike McCann, VP of Government Finance Solutions

Before joining OpenGov, Mike served as the CFO of Ukiah, California, and the Assistant Finance Director of Monterey, California, where he was responsible for Budget, CAFR and operational reporting. Previously, he held CFO positions at a Silicon Valley start-up and a non-profit organization that provided federal and state-funded job training services. Mike has also held positions with Blue Shield of California, Wells Fargo, and ADP. He holds an MS in instructional science and technology from California State University Monterey Bay and a BS in accounting from San Jose State University. He served with the U.S. Army Security Agency in Vietnam and Japan.

Source: Bios courtesy of OpenGov company website.

Exhibit 2

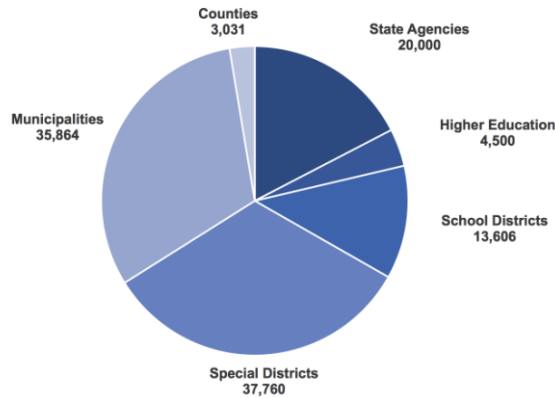
Product Offerings



Source: OpenGov.

Exhibit 3

OpenGov U.S. State & Local Market Opportunities



90,261

Local Governments

24,500

Higher Ed + State Agencies

\$3.25 trillion

Expenditures

Not pictured: federal and international opportunities



FORTUNE 100 2018 STATES RANK (in billions)			
1. Walmart	\$485	Virginia	\$52
California	\$290	New Jersey	\$49
2. BERKSHIRE HATHAWAY INC.	\$223	60. CISCO	\$49
9. AT&T	\$163	Georgia	\$49
New York	\$163	61. HP	\$48
Texas	\$111	Maryland	\$45
28. Microsoft	\$85	64. Coca-Cola	\$41
Florida	\$84	Arizona	\$42
Pennsylvania	\$81	Minnesota	\$40
31. COMCAST	\$80	Wisconsin	\$37
32. IBM	\$79	Oregon	\$37
Ohio	\$71	81. ORACLE	\$37
Illinois	\$71	Tennessee	\$36
41. DELL Technologies	\$64	86. ANSYS	\$33
North Carolina	\$57	Kentucky	\$34
50. United Technologies	\$57	Indiana	\$33
Michigan	\$56	West Virginia	\$33
Washington	\$52	Louisiana	\$32
Massachusetts	\$52	100. Capital One	\$27

State budgets compared to Fortune 100

Source: GovTech Navigator Data.

Exhibit 4 Acquisitions

- Five transactions completed and corporate development muscle built
- Significant pipeline through inbound interest from companies in industry wanting to partner with OpenGov through acquisition



Ontodia (Acquired in April 2016)

- Leading provider of Open Data solutions using CKAN, the premier open-source standard used by hundreds of governments around the world. Strategic lynchpin that allowed OpenGov to take out principle competitor in the space.
- Recurring revenue from \$0-3MM since acquisition (0.3x acquisition multiple based on current ARR)
- Profitable with sustainable Operating Margins ~50%



Peak Democracy (Acquired in October 2017)

- Open Town Hall product adds critical survey and form capability to our Reporting and Transparency suite and participatory budgeting capability to Budgeting and Planning suite.
- Acquired at 1.5X ARR with 100 customers, profitable, and have demonstrated strong synergy via joint use cases with OG and successful technology integration.



STW Inc. (Acquired in November 2018)

- Founded in 1992 with on-premise software and ~85 customers, all located in Texas.
- Mature and robust Financials product was key to completing the vision of the OpenGov ERP Cloud.
- Stealth acquisition initially while the team moved the technology to the cloud.



ViewPoint (Acquired in September 2019)

- 24-year-old permitting, licensing, and code enforcement company that had re-written its mature solution in a cloud environment.
- The final piece to completing the OpenGov ERP cloud.
- Selling and cross-selling the newly OpenGov branded and integrated product proving immediately successful.



ClearRec (Acquired in October 2020)

- Bank reconciliation software designed to handle a broad set of use cases including manual and automatic transaction matching, and batch splitting for larger transaction sets.
- Valuable addition to the functionality of the OpenGov Financials suite.

Source: OpenGov.

Exhibit 5

Customer Success Stories



Ravalli County, Montana Saves Time and Money with Modern Budgeting

TYPE
County

POPULATION
42,000

ANNUAL BUDGET
\$35M

Challenge

In 2010, Ravalli County cut their workforce by 14% (from 220 to 190 employees). The finance team had just three employees and was challenged by the manual, cumbersome budget process. Without resources to hire additional full-time employees, they needed to innovate and do more with less.

Solution

Ravalli County Chief Financial Officer, Klarryse Murphy, turned to OpenGov to reduce their manual workload and streamline the budget process.

Results

- ✓ Annual savings of one FTE (\$70k)
- ✓ Cut budget completion time by over 30% (from 6 months to 4 months)
- ✓ Reduced costly errors with automated software
- ✓ Self-service reporting reduced reliance on overworked finance staff and improved quality of recommendations and analysis.

"In all my years working in public accounting and government work, I've never had a contract that I got more out of than what I was told I would get. Usually you get disappointed with contracts, but OpenGov way exceeded my expectations."

KLARRYSE MURPHY
CFO, COUNTY OF RAVALLI, MT

About County of Ravalli

The County of Ravalli, Montana is unique in that 73% of the land is owned by the United States government. Ravalli faces a limited resource base and is the third largest county in the state that PILT (payment in lieu of taxes) is paid by the government for federally-owned acres. Once reliant on agriculture and the timber industry, today Ravalli enjoys a vibrant tourist economy.

Exhibit 5 (continued)

Customer Success Stories



How Ashland, OR Saved \$110k Annually and Produced the First-Ever Interactive Budget Book



TYPE
City

POPULATION
22,000

ANNUAL BUDGET
\$150M

Challenge

The City of Ashland was challenged on many fronts. The ERP lacked the ability to provide detailed reporting for analysis. Data that was pulled took a long time to gather and then manually compile. The budget process required multiple staff resources and lacked transparency, creating distrust with the public.

Solution

Drive digital transformation through the OpenGov Cloud™ to build public trust, save valuable staff time, and reallocate budget to more strategic needs.

Results

- ✓ Saving \$110k annually (1 Financial Analyst FTE)
- ✓ 67% time savings across staff time for preparing budget
- ✓ Saved 3-4 hours of reporting time per month
- ✓ Reduced time spent on rework from 15% to 0%

"OpenGov has been instrumental in enabling us to put all the data including line item details into the budget proposal and make it far easier to understand as the single source of truth. The technology innovation is why we've chosen to partner with OpenGov to drive our strategic vision forward."

MARK WELCH
ADMINISTRATIVE SERVICES DIRECTOR
CITY OF ASHLAND, OR



About Ashland, OR

Ashland is a picturesque city in southern Oregon, nestled at the base of the convergence of the Siskiyou and Cascade mountain ranges at nearly 2,000 feet in elevation. The city is best known for the Oregon Shakespeare Festival.

Exhibit 5 (continued)

Customer Success Stories



Implementing World-Class Performance Management in Bernalillo County, NM



TYPE
County

POPULATION
675,550

ANNUAL BUDGET
\$538.8 Million

Challenge

Needed an accessible, easy-to-use performance measurement system

Solution

Drive change management across the culture and work with OpenGov customer success teams to transition from traditional performance measurement to cloud-based software

Results

- ✓ Reduced data prep time from 4 hours to 5 minutes
- ✓ Saved 128 hours of business analyst time per year
- ✓ Implemented 300 performance measures for 35 departments
- ✓ Transitioned to cloud-based performance measurement in 9 months

"We view OpenGov as a strategic partner. They've taken the time to listen to what we wanted and built a true partnership with us. You don't see that at other software companies -- especially bigger software companies like SAP where we never would get that interaction. Their responsiveness and collaboration is impressive."

MARIA ZUNIGA
BUSINESS IMPROVEMENT & PERFORMANCE
ADMINISTRATOR, BERNALILLO COUNTY, NM

About Bernalillo County

The most populous county in New Mexico, Bernalillo County has a rich cultural history that includes both Spanish colonial and Mexican rule. Today, Bernalillo County is a thriving and active community with diverse economic opportunities and a government committed to operating a high-performance organization. With 35 County departments – each with 10-12 specified key performance measures and objectives – Bernalillo County's staff sought a way to track and ensure effectiveness and accountability while also making that information available to the public. Their full solution story is featured in [this case study](#) where we explore how they effectively track performance measures.

Exhibit 5 (continued)

Customer Success Stories



How the Illinois State Treasurer Created Unprecedented Transparency



TYPE
State Government
Executive Office

POPULATION
13 million

ANNUAL BUDGET
\$59 million

Challenge

Since Michael W. Frerichs became the Illinois State Treasurer, he has focused on transparency and efficiency in government for the benefit of the people of the State of Illinois. He continuously seeks solutions aimed at increasing civic engagement and transparency in government to levels that are unprecedented for the Illinois State Treasurer's Office. The prior system for providing information to the public involved static data and was not as interactive or user-friendly. Additionally, data on many programs had not been disclosed to the public, unless requested by individuals through the Freedom of Information Act.

Solution

The Treasurer's Office chose OpenGov, through the RFP process, to deploy a user-friendly, cloud-based software platform that would provide consistent data updates, thereby allowing the Office to deliver on key promises and objectives.

Site: www.iltreasurervault.com

Results

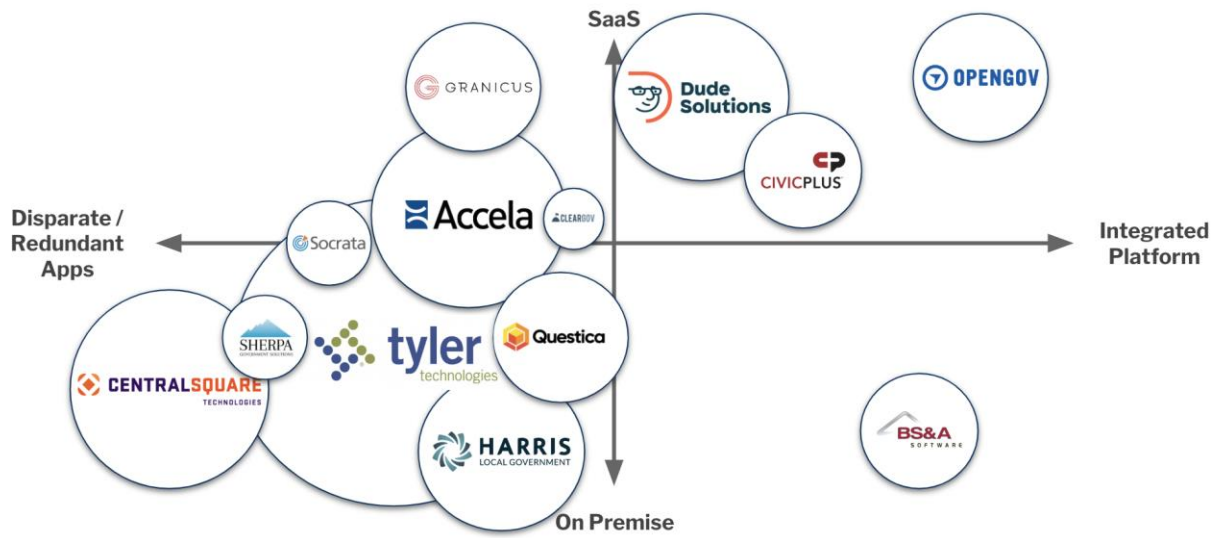
- ✓ Reduced time spent on data preparation by 80% for key divisions within the Treasurer's Office
- ✓ Reduced time spent preparing State Investments reports by 95%
- ✓ Generated interactive, easy-to-interpret data
- ✓ Achieved Treasurer's objective of increasing engagement and trust with citizens by sharing key performance data and relevant context

"OpenGov is a key partner we utilize to execute and achieve our transparency goals, our civic engagement goals, and to achieve internal efficiencies in terms of data preparation and reporting objectives. They are definitely an important partner in achieving those high-level strategic objectives."

**MAX DULBERGER, DIRECTOR,
CORPORATE ENGAGEMENT AND INVESTMENT
OPERATIONS, ILLINOIS STATE TREASURER**

Source: OpenGov.

Exhibit 6 Competitive Landscape



Source: OpenGov.

Exhibit 7

OpenGov ERP Cloud Datasheet



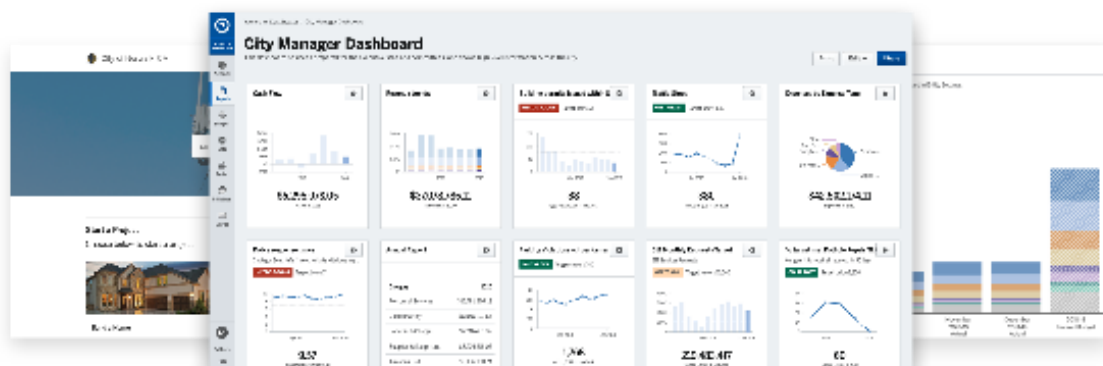
OpenGov ERP Cloud

Collaborative Budgeting | Robust Financial Management | Intuitive Citizen Services

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contact@opengov.com
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The Only Modern Cloud ERP for Local Government

Future-proof your government's most important software investment by choosing the only modern cloud ERP designed to unify and automate the many mission-critical processes of local government.



Many core processes. One integrated solution.

Built with a data-first mindset, the OpenGov ERP Cloud combines powerful public-administration software suites with the industry-leading Reporting & Transparency Platform to drive faster, more effective decisions, and understand the public response.



Budgeting & Planning

Enable maximum effectiveness for your entire budget and planning cycle, from near-term forecast adjustments to long-range capital initiatives.



Financials

Streamline Fund Accounting, procure and pay, account for assets, automate Payroll and manage billing for utilities and other services - all without paper, Excel, errors, and pain.



Citizen Services

Accelerate community development with a user-friendly public application portal seamlessly integrated with back-end automation capabilities for a variety of workflows.



Reporting & Transparency

Centralize and automate reporting for all of your constituents while strengthening public trust with a unified platform for communication.



80%

OpenGov customers achieve an average of 80% time savings on reporting



2x

Governments using OpenGov's Budgeting & Planning solutions double their efficiency in time spent creating the budget



75%

OpenGov customers improve average permit processing times by up to 75%

Exhibit 8

Amy Wilkinson's Six Essential Skills

Find the Gap:

By staying alert, entrepreneurial leaders spot opportunities that others don't see. They keep their eyes open for fresh potential, a vacuum to fill, or an unmet need. To do this they tend to use one of three distinct techniques: transplanting ideas across divides, designing a new way forward, or merging disparate concepts. Entrepreneurial leaders who master these approaches can be characterized as Sunbirds, Architects, or Integrators.

Drive for Daylight:

Just as racecar drivers keep their eyes fixed on the road ahead, entrepreneurial leaders focus on the future, knowing that where they go, their eyes go first. They move too fast to navigate by the confines of their lane or the position of their peers. Instead, they focus on the horizon, scan the edges, and avoid nostalgia to set the pace in a fast-moving marketplace. This skill highlights the long-term mission of entrepreneurial leaders.

Fly the OODA Loop:

Entrepreneurial leaders continuously update their assumptions. In rapid succession, they observe, orient, decide, and act. Like legendary fighter pilot John Boyd, who pioneered the idea of the "OODA loop," entrepreneurial leaders move nimbly from one decision to the next. They master fast-cycle iteration and in short order gain an edge over less agile competitors.

Fail Wisely:

Entrepreneurial leaders understand that experiencing a series of small failures is essential to avoiding catastrophic mistakes. In the course of practicing and mastering this skill, they set failure ratios, place small bets to test ideas, and develop resilience. They hone the skill to turn setbacks into successes.

Network Minds:

To solve multifaceted problems, entrepreneurial leaders bring together the brainpower of diverse individuals through on- and off-line forums. They harness cognitive diversity to build on each other's ideas. To do this, they design shared spaces, foster flash teams, host prize competitions, and build work-related games. This skill underscores the importance of collaborating with unlikely allies.

Gift Small Goods:

Entrepreneurial leaders unleash generosity by helping others, often by sharing information, pitching in to complete a task, or opening opportunities to colleagues. Offering kindness may not seem like a skill, but it is an essential way to strengthen relationships. In an increasingly transparent and interconnected world, generosity makes entrepreneurial leaders more productive.

Source: Supplemental materials to Amy Wilkinson's *The Creator's Code: The Six Essential Skills of Extraordinary Entrepreneurs*.